My AI Workforce

PRACTICAL AI GUIDE

Set Up an Invoice Processing Workflow

⏱ 2–4 hours 📊 Intermediate

Tools covered: Make or Zapier, Xero or QuickBooks, Google Drive or Dropbox

What You'll Build

An automated system that: detects incoming invoices via email, extracts key data using AI/OCR, creates the invoice entry in your accounting software, and routes it for approval — all without manual data entry.

The Problem This Solves

Manual invoice processing costs businesses an average of $12–$15 per invoice in staff time. At 50 invoices per month, that's $600–$750/month in pure admin cost. This workflow reduces that to under $1 per invoice.

Step 1: Standardise How Invoices Arrive

Before automating, decide where invoices land:

Option A: Dedicated email inbox Create `invoices@yourdomain.com` and ask all suppliers to send invoices there. This is the cleanest approach.

Option B: Gmail label Apply a "INVOICE" label manually (or via Gmail filter) to incoming invoices in your main inbox.

Option C: Shared Google Drive folder Ask your team to upload invoices to a specific Drive folder. Works well for physical receipts photographed on mobile.

Step 2: Set Up Email-to-Data Extraction

Using Make (Recommended)

1. **Trigger:** Gmail — Watch emails in invoices@yourdomain.com
2. **Download Attachment:** Get the PDF/image attachment
3. **OCR Extraction:** Use the Mindee or Google Document AI module:
    - Invoice number
    - Supplier name
    - Amount (excl. GST)
    - GST amount

- Total amount
- Invoice date
- Due date
- Line items (optional)

4. **Parse with AI (if OCR isn't enough):** Use OpenAI module with prompt:

```
Extract from this invoice text: supplier name, invoice number,
date, due date, subtotal, GST, total amount. Return as JSON.

Invoice text: [extracted text]
```

Using Zapier

1. Trigger: New email in Gmail with attachment
2. Action: Formatter → Extract text from PDF (Zapier's built-in)
3. Action: OpenAI — Extract structured data
4. Action: Continue to accounting step

Step 3: Create the Invoice in Xero or QuickBooks

Xero Integration

In Make, after extraction:

1. **Xero module:** "Create Bill"
2. Map the extracted fields:
   - Contact: Supplier name (auto-match or create new)
   - Date: Invoice date
   - Due Date: Due date
   - Line Items: Description + Amount
   - Tax: Auto-calculate GST

Important: Set status to "DRAFT" — don't post automatically until you've approved the workflow.

QuickBooks Integration

Same concept — use the QuickBooks module in Make/Zapier:

- Module: "Create Bill"

Step 4: Build the Approval Workflow

Never auto-post invoices without approval. Set up a Slack/email approval gate:

In Make:

1. After creating draft bill, send Slack message:

```
📄 New invoice ready for review
Supplier: [Supplier Name]
Amount: $[Total]
Due: [Due Date]
Invoice #: [Invoice Number]

[Approve] [Reject] [View in Xero]
```

2. Wait for response
3. If Approved: Update Xero bill status from DRAFT to APPROVED
4. If Rejected: Flag for manual review, add to exceptions report

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Step 5: Handle Exceptions

Some invoices will fail to extract correctly. Build an exceptions workflow:

1. If extraction confidence is below 80% → route to exceptions folder
2. Send notification: "Invoice from [supplier] needs manual review"
3. Log in Google Sheets: Date, Supplier, Issue, Resolved by

Check your exceptions log weekly and retrain your extraction prompts based on patterns.

Step 6: Monthly Reconciliation Report

At month end, auto-generate a report:

1. Query Xero API for all bills in the month
2. Group by: Supplier, Category, Status (Paid/Unpaid)
3. Calculate totals and compare to budget
4. Email to stakeholders as PDF

Cost Comparison

METHOD	COST PER INVOICE	TIME PER INVOICE
Manual data entry	$12–$15	8–12 mins
This automation	$0.50–$1.00	30 seconds
Savings (at 50/mo)	$550–$700/mo	~8 hours/mo

Troubleshooting

OCR extracting wrong amounts?

- Try Mindee's invoice parser — it's purpose-built and more accurate than generic OCR
- Add a validation step: if subtotal + GST ≠ total, flag for review

Supplier not found in Xero?

- Add a "Create Contact if not exists" step before creating the bill

Duplicate invoice detection?

- Store invoice numbers in a Google Sheet
- Before creating: check if invoice number already exists

For a pre-built invoice processing agent, visit myaiworkforce.ai/marketplace